Deutsche Bank
Research

Rating
Buy

Europe
France

Aerospace & Defence
Aerospace & Defence

Company
Airbus

Reuters	Bloomberg	Exchange	Ticker
AIR.PA	AIR FP	PAR	AIR

ADR	ISIN
EADSY	US29875W1009

Date
29 April 2026

Results

Price at 28 Apr 2026 (EUR)	166.10
Price Target	226.00
52-week range	220.20 - 143.98

A disappointing Q1, but an improved delivery outlook

Airbus reported a worse-than-expected Q1 on adjusted EBIT and FCF but confirmed its FY26 guidance. The company provided helpful context on the lagging Q1 deliveries and the prospective catch-up in deliveries in Q2 and Q3, thus reassuring on its ability to meet its FY26 guidance.

A disappointing quarter (as expected)

Q1-26 Group revenues came in 2% above consensus expectations at €12,651m but group EBIT Adjusted was 14% below consensus at €300m, in particular due to Airbus Commercial down 49% yoy at €81m and Helicopters also 28% below at €65m. Only Airbus Defence & Space saved the day, with EBIT 17% above consensus expectations at €130m. The latter is due to 2 A400M deliveries in the quarter , with one export aircraft to Indonesia, while Airbus Commercial performance is the result of lower volume, mix, pricing, higher R&D spend and higher FX impact (2 cents up actual vs. one cent expected). Helicopters disappointed somewhat on lower mix. Q1-26 FCF before customer financing missed expectations by 44% at €-2,485m.

Some phasing elements point to better days ahead in 2026

20 aircraft earmarked for Chinese Airlines were not delivered in Q1, due to administrative reasons. This alone represents approximately €500m of working capital out of the €2.9bn increase in Q1. This is now resolved, and the aircraft are being delivered, so a full catch-up is expected in Q2. The working capital increase is also a clear sign that Airbus is ramping up production at the rate it expects to reach to meet its 2026 delivery guidance. FCF should improve in Q2 and turn positive, due to both seasonality and also the return of deliveries. While there is no change to the Pratt situation and the financial compensation is still under negotiation, current engine delivery rates are still compatible with Airbus meeting its 2026 delivery guidance. There was no white tail in Q1. As for the panel issue, it takes approximately 7 weeks to fix the impacted aircraft, and Airbus continues to work on them with full resolution by the end of Q2 or early Q3, hence a volume catch-up on an unspecified number of aircraft, which we deem to be close to 20 units.

FY26 guidance reiterated, with improved context on deliveries

Airbus continues to guide to around 870 deliveries, with EBIT around €7.5bn and FCF at €4.5bn. Given the catch-up in deliveries of 20 plus an extra potential 20 panel aircraft, we now have better confidence in the company's ability to achieve the

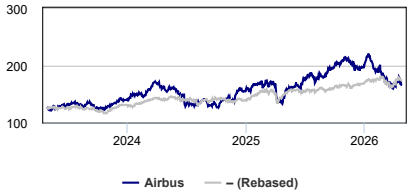
Valuation & Risks

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Price/price relative



Performance (%)	1m	3m	12m
Absolute	3.2	-17.0	17.8
DJ (.STOXXE)	6.8	-0.8	16.8

Source: Deutsche Bank

Key indicators (FY1)

ROE (%)	21.4
ROA (%)	4.3
Net debt/equity (x)	-6.3
Book value/share (EUR)	37.32
Price/book (x)	4.5
Net interest cover (x)	–
EBIT margin (%)	9.6

Source: Deutsche Bank

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guidance than post the release of the Q1 deliveries. The context provided on the Q1 call helped and reassured.

Buy, PT at €226

Our price target remains based on the midpoint of three methods: a 2028E EV/EBIT SOTP valuation yielding €286, where Airbus Commercial is valued at 20x EV/EBIT 2028 (compared with Boeing above 24x) and Defense, Space, and Helicopters at a 15.3x 3-year forward multiple (peer based); a DCF valuation resulting in €190 per share; and a 4% FCF yield approach based on 2028E, which yields €202 per share.

Forecasts and ratios

Year End Dec 31	2024A	2025A	2026E	2027E	2028E
Revenue (EURm)	69,230	73,420	80,438	88,571	101,409
EBITA (EURm)	5,354	7,128	7,746	8,922	11,234
EBITDA (EURm)	8,207	10,261	11,089	12,402	14,877
PBT stated (EURm)	5,257	7,090	7,775	8,857	11,309
FY DB EPS (EUR)	5.05	6.89	7.52	8.52	10.79
EV/EBITDA (x)	13.8	13.3	11.4	9.9	7.9
P/E (x)	28.9	25.8	22.1	19.5	15.4
EV/EBITA (x)	21.1	19.2	16.3	13.7	10.5
Dividend yield (%)	2.1	1.8	2.1	2.5	3.3
ROE (%)	21.4	23.8	21.4	21.4	23.6
Net debt/equity (%)	-3.7	0.5	-6.3	-15.7	-25.6

Source: Deutsche Bank estimates, company data

Figure 1: Q1-26 results vs expectations

	Q1-26	Q1-25	% change	Q1-26		diff(%)	
	act.	act.		Cons.	DBe	Cons.	DBe
Group revenues	**12,651**	**13,542**	**-7%**	**12,385**	**12,597**	**2%**	**0%**
Airbus	8,436	9,521	-11%	8,150	8,384	4%	1%
Helicopters	1,604	1,600	0%	1,667	1,648	-4%	-3%
Defence & Space	2,832	2,656	7%	2,821	2,845	0%	0%
HQ/ Eliminations	-221	-235	-6%	-254	-280	-13%	-21%
Group EBIT Adjusted	**300**	**624**	**-52%**	**348**	**389**	**-14%**	**-23%**
% margin	2.4%	4.6%		2.8%	3.1%		
Airbus	81	494	-84%	158	225	-49%	-64%
% margin	1.0%	5.2%		1.9%	2.7%		
Helicopters	65	78	-17%	90	82	-28%	-21%
% margin	4.1%	4.9%		5.4%	5.0%		
Defence & Space	130	77	69%	111	106	17%	22%
% margin	4.6%	2.9%		3.9%	3.7%		
HQ/ Eliminations	24	-25		-11	-25		
Group EBIT Reported	**224**	**473**	**-53%**	**338**	**321**	**-34%**	**-30%**
% margin	1.8%	3.5%		2.7%	2.5%		
Airbus	1	451		147	188	-99%	-99%
% margin	0.0%	4.7%		1.8%	2.2%		
Helicopters	65	78		90	82	-28%	-21%
% margin	4.1%	4.9%		5.4%	5.0%		
Defence & Space	134	-31		111	75	21%	78%
% margin	4.7%	-1.2%		3.9%	2.7%		
HQ/ Eliminations	24	-25		-10	-25		
EPS adjusted	0.33	0.67	-50%	0.39	0.40	-15%	-18%
FCF before customer financing	**-2,485**	-310	NM	**-1,728**	**-1,355**	**44%**	**83%**

Source : Deutsche Bank, Company provided consensus

Model updated: 15 April 2026

Running the numbers
Europe
France
Aerospace & Defence

Airbus

Reuters: AIR.PA | Bloomberg: AIR FP

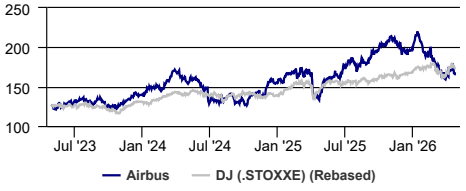
Buy

Price (28 Apr 26)	EUR 166.1
Target Price	EUR 226.0
52 Week range	EUR 143.98 - 220.20
Market cap (m)	EURm 131,148 USDm 153,502

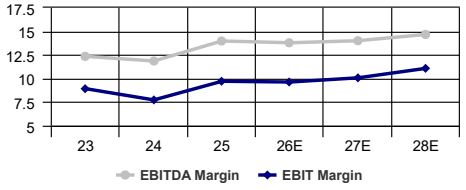
Company Profile

The company has three divisions: Airbus, Airbus Helicopters and Airbus Defence and Space. Airbus develops, manufactures and markets commercial jet aircraft and aircraft components. Airbus Helicopters develops, manufactures and markets civil and military helicopters, as well as provides helicopter related services. The Airbus Defence and Space segment produces transport, trainer,

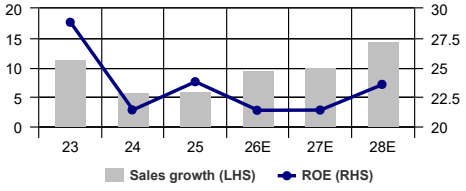
Price Performance



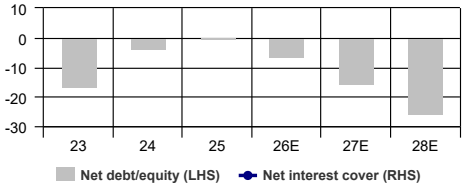
Margin Trends



Growth & Profitibility



Solvency



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Fiscal year end 31-Dec	2023	2024	2025	2026E	2027E	2028E
Financial Summary						
DB EPS (EUR)	5.60	5.05	6.89	7.52	8.52	10.79
Reported EPS (EUR)	5.60	5.05	6.89	7.52	8.52	10.79
DPS (EUR)	2.80	3.00	3.20	3.50	4.10	5.40
BVPS (EUR)	22.4	24.8	33.1	37.3	42.3	49.2
Weighted average shares (m)	789	790	790	790	790	790
Average market cap (EURm)	100,227	115,471	140,013	131,148	131,148	131,148
Enterprise value (EURm)	99,152	113,204	136,841	125,990	122,605	117,885
Valuation Metrics						
P/E (DB) (x)	22.7	28.9	25.8	22.1	19.5	15.4
P/E (Reported) (x)	22.7	28.9	25.8	22.1	19.5	15.4
P/BV (x)	6.23	6.24	6.00	4.45	3.92	3.38
FCF Yield (%)	3.9	3.6	3.1	3.5	4.8	6.1
Dividend Yield (%)	2.2	2.1	1.8	2.1	2.5	3.3
EV/Sales (x)	1.5	1.6	1.9	1.6	1.4	1.2
EV/EBITDA (x)	12.3	13.8	13.3	11.4	9.9	7.9
EV/EBIT (x)	17.0	21.1	19.2	16.3	13.7	10.5
Income Statement (EURm)						
Sales revenue	65,446	69,230	73,420	80,438	88,571	101,409
Gross profit	6,845	8,157	9,215	10,939	12,252	14,727
EBITDA	8,080	8,207	10,261	11,089	12,402	14,877
Depreciation	2,242	2,853	3,133	3,343	3,480	3,643
Amortisation	0	0	0	0	0	0
EBIT	5,838	5,354	7,128	7,746	8,922	11,234
Net interest income(expense)	0	0	0	0	0	0
Associates/affiliates	0	0	0	0	0	0
Exceptionals/extraordinaries	0	0	0	0	0	0
Other pre-tax income/(expense)	-28	-97	-38	30	-64	76
Profit before tax	5,810	5,257	7,090	7,775	8,857	11,309
Income tax expense	1,156	1,347	1,390	1,736	1,973	2,509
Minorities	-176	-154	-261	-261	-261	-261
Other post-tax income/(expense)	-413	-72	-524	-363	-418	-544
Net profit	4,417	3,992	5,437	5,937	6,727	8,517
DB adjustments (including dilution)	0	0	0	0	0	0
DB Net profit	4,417	3,992	5,437	5,937	6,727	8,517
Cash Flow (EURm)						
Cash flow from operations	6,922	7,836	8,261	8,806	10,742	12,649
Net Capex	-3,051	-3,669	-3,964	-4,200	-4,500	-4,600
Free cash flow	3,871	4,167	4,297	4,606	6,242	8,049
Equity raised/(bought back)	-188	-150	-531	0	0	0
Dividends paid	-1,421	-2,215	-2,372	-2,527	-2,764	-3,237
Net inc/(dec) in borrowings	0	0	0	0	0	0
Other investing/financing cash flows	-967	-775	-976	-1,181	-909	-637
Net cash flow	1,295	1,027	418	899	2,569	4,175
Change in working capital	1,204	1,266	94	-18	718	360
Balance Sheet (EURm)						
Cash and other liquid assets	16,469	15,003	14,128	16,115	19,500	24,219
Tangible fixed assets	17,201	19,112	20,893	21,750	22,770	23,727
Goodwill/intangible assets	16,929	17,179	16,847	17,179	16,847	17,179
Associates/investments	8,248	10,339	10,923	9,542	11,902	10,423
Other assets	60,024	67,580	72,148	77,936	80,435	87,823
Total assets	118,871	129,213	134,939	142,522	151,454	163,372
Interest bearing debt	13,591	14,279	14,249	14,249	14,249	14,249
Other liabilities	87,550	95,238	94,506	98,727	103,688	110,192
Total liabilities	101,141	109,517	108,755	112,976	117,937	124,441
Shareholders' equity	17,695	19,606	26,104	29,467	33,438	38,850
Minorities	35	90	80	80	80	80
Total shareholders' equity	17,730	19,696	26,184	29,547	33,518	38,930
Net debt	-2,878	-724	121	-1,866	-5,251	-9,970
Key Company Metrics						
Sales growth (%)	11.4	5.8	6.1	9.6	10.1	14.5
DB EPS growth (%)	8.7	-9.8	36.3	9.2	13.3	26.6
EBITDA Margin (%)	12.3	11.9	14.0	13.8	14.0	14.7
EBIT Margin (%)	8.9	7.7	9.7	9.6	10.1	11.1
Payout ratio (%)	50.0	59.4	46.5	46.5	48.1	50.1
ROE (%)	28.8	21.4	23.8	21.4	21.4	23.6
Capex/sales (%)	4.7	5.3	5.4	5.2	5.1	4.5
Capex/depreciation (x)	1.4	1.3	1.3	1.3	1.3	1.3
Net debt/equity (%)	-16.2	-3.7	0.5	-6.3	-15.7	-25.6
Net interest cover (x)	nm	nm	nm	nm	nm	nm

Source: Company data, Deutsche Bank estimates

Appendix 1

Important Disclosures

*Other information available upon request

Disclosure checklist

Company	Ticker	Recent price*	Disclosure
Airbus	AIR.PA	166.1 (EUR) 28 Apr 2026	2, 8, 14, 15, 21, 24, 26

*Prices are current as of the end of the previous trading session unless otherwise indicated and are sourced from local exchanges via Reuters, Bloomberg and other vendors . Other information is sourced from Deutsche Bank, subject companies, and other sources. For disclosures pertaining to recommendations or estimates made on securities other than the primary subject of this research, please see the most recently published company report or visit our global disclosure look-up page on our website at https://research.db.com/Research/Disclosures/EquityResearchDisclosures. Aside from within this report, important risk and conflict disclosures can also be found at https://research.db.com/Research/Disclosures/Disclaimer. Investors are strongly encouraged to review this information before investing.

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Disclosures marked with an asterisk may also be required by at least one jurisdiction in addition to the United States.See Important Disclosures Required by Non-US Regulators and Explanatory Notes.

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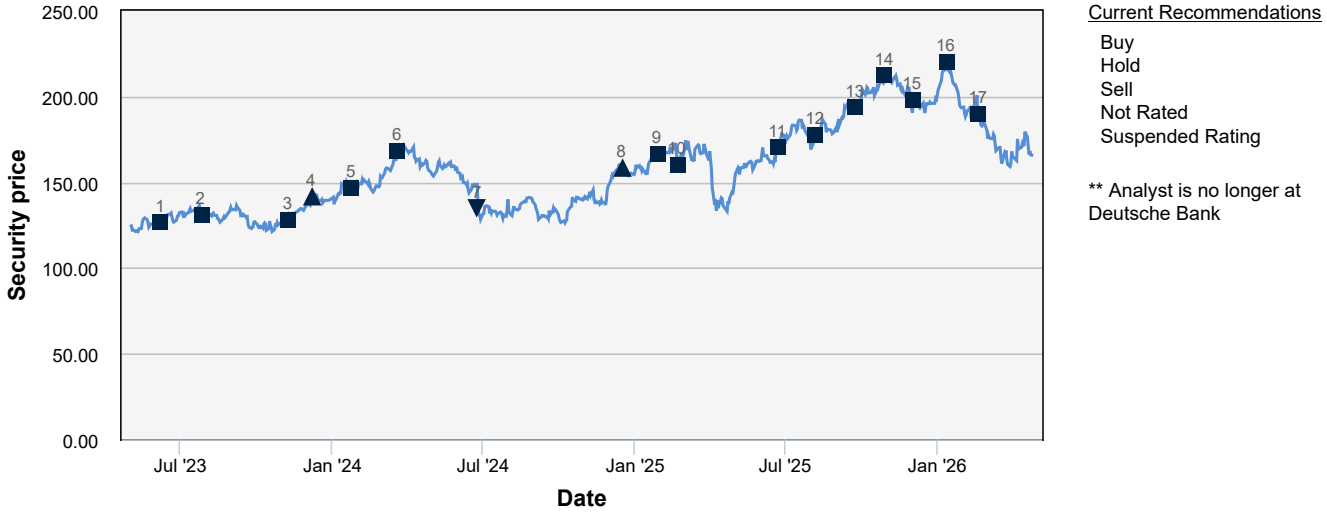
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Historical recommendations and target price: Airbus (AIR.PA)

(as of 04/27/2026)



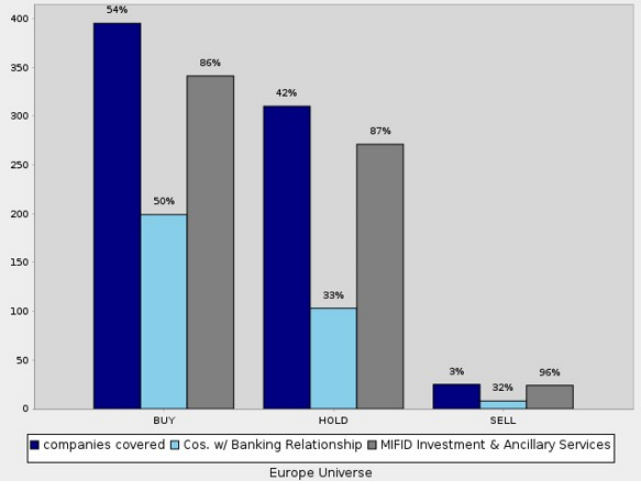
Current Recommendations

Buy
Hold
Sell
Not Rated
Suspended Rating

** Analyst is no longer at Deutsche Bank

1.	06/08/2023	Hold, Target Price Change EUR 127.00, Current Price EUR 126.54 Christophe Menard
2.	07/27/2023	Hold, Target Price Change EUR 128.00, Current Price EUR 131.00 Christophe Menard
3.	11/09/2023	Hold, Target Price Change EUR 130.00, Current Price EUR 127.86 Christophe Menard
4.	12/08/2023	Upgraded to Buy, Target Price Change EUR 152.00, Current Price EUR 141.82 Christophe Menard
5.	01/24/2024	Buy, Target Price Change EUR 165.00, Current Price EUR 146.74 Christophe Menard
6.	03/20/2024	Buy, Target Price Change EUR 186.00, Current Price EUR 168.06 Christophe Menard
7.	06/25/2024	Downgraded to Hold, Target Price Change EUR 155.00, Current Price EUR 134.78 Christophe Menard
8.	12/17/2024	Upgraded to Buy, Target Price Change EUR 185.00, Current Price EUR 158.54 Christophe Menard
9.	01/29/2025	Buy, Target Price Change EUR 187.00, Current Price EUR 166.62 Christophe Menard
10.	02/22/2025	Buy, Target Price Change EUR 183.00, Current Price EUR 160.00 Christophe Menard
11.	06/24/2025	Buy, Target Price Change EUR 185.00, Current Price EUR 170.60 Christophe Menard
12.	08/07/2025	Buy, Target Price Change EUR 186.00, Current Price EUR 177.40 Christophe Menard
13.	09/25/2025	Buy, Target Price Change EUR 209.00, Current Price EUR 193.86 Christophe Menard
14.	10/30/2025	Buy, Target Price Change EUR 228.00, Current Price EUR 212.70 Christophe Menard
15.	12/03/2025	Buy, Target Price Change EUR 222.00, Current Price EUR 198.12 Christophe Menard
16.	01/13/2026	Buy, Target Price Change EUR 250.00, Current Price EUR 220.20 Christophe Menard
17.	02/20/2026	Buy, Target Price Change EUR 226.00, Current Price EUR 189.74 Christophe Menard

Equity rating dispersion and banking relationships



Equity Rating and Dispersion Key

The Equity Rating Dispersion Chart depicts the following:

The proportion of recommendations that are rated "buy", "sell" and "hold" over the previous 12 months. This is shown for securities issued in the stated region e.g. "Europe Universe". See rating definitions below. This is represented by the "Companies Covered" bars in the chart. The percentage value displayed above the bar is the proportion as a percentage. E.g. 50% above the “buy” / “Companies Covered” bar means that 50% of DB’s equity research covered companies over the past 12 months have a “buy” rating.

Next to each of the three respective bars showing the proportion of "buy", "sell" and "hold" recommendations we provide two additional bars to show:

- The proportion of "buy", "sell" or "hold recommendations where Deutsche Bank and or/Affiliates provided MIFID Investment or Ancillary Services in the past 12 months. This is represented in the "MIFID Investment and Ancillary Services" bar. The percentage value displayed above the bar shows the proportion of Companies Covered with the given rating where DB has also provided MIFID Investment and Ancillary Services in the past 12 months. E.g. 50% above the “Cos. w/ MIFID Investment and Ancillary Services” bar means 50% of the Companies Covered with the rating stated have also received MIFID Investment and Ancillary Services from DB.

- The proportion of "buy" (or "sell" or "hold) recommendations where Deutsche Bank and or/Affiliates has provided Investment Banking services in the past 12 months for which it has received compensation. The percentage value displayed above the bar shows the proportion of Companies Covered with the stated rating where DB has also provided Investment Banking services in the past 12 months. E.g. 50% above the “Cos. w/ Investment Banking relationship” bar means 50% of the Companies Covered with the rating stated also have an Investment Banking Relationship with DB.

Buy: Based on a current 12- month view of TSR, we recommend that investors buy the stock.

Sell: Based on a current 12-month view of TSR, we recommend that investors sell the stock.

Hold: We take a neutral view on the stock 12-months out and, based on this time horizon, do not recommend either a Buy or Sell.

TSR = Total Shareholder Return. Percentage change in share price from current price to projected target price plus projected dividend yield

Newly issued research recommendations and target prices supersede previously published research.



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